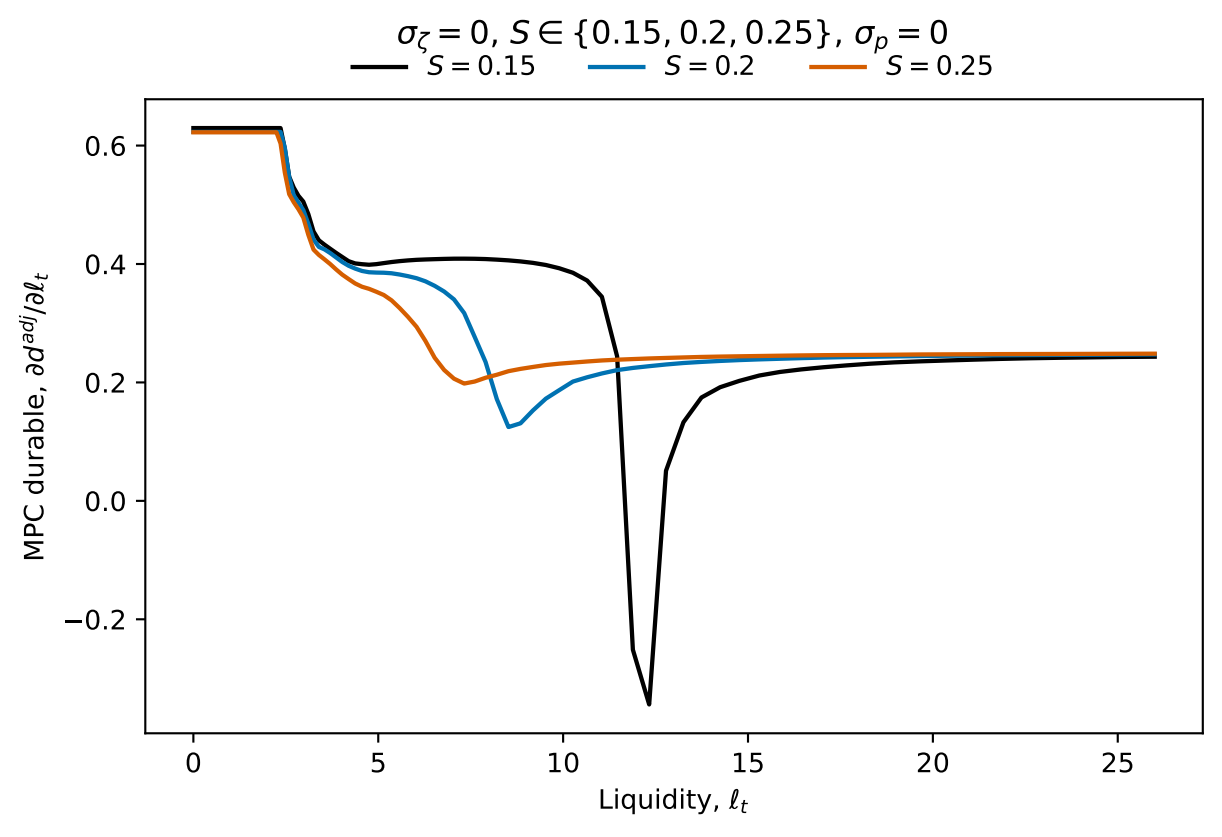
$\sigma_\zeta = 0$, $S \in \{0.15, 0.2, 0.25\}$, $\sigma_p = 0$
$S = 0.15$
$S = 0.2$
$S = 0.25$
MPC durable, $\partial d^{adj}/\partial \ell_t$
0.6
0.4
0.2
0.0
−0.2
0
5
10
15
20
25
Liquidity, ℓ_t